www.Padasalai.Net – Public Exam 2023 – Model Question Paper

CLASS: XII **MARKS:90**

SUBJECT: ACCOUNTANCY **TIME :3 HRS**

I) CHOOSE THE CORRECT ANSWER : **(20*1=20)**

1) Double entry system as per section maintained by

(a) 127(1) (b) 129(1) (c) 128(1) (d) 128(2)

2) Opening balance of debtors: ` 60,000, cash received: ` 2,00,000, credit sales: ` 1,80,000; closing balance of debtors is

a)` 30,000 b) ` 1,30,000 c) ` 40,000 d) ` 20,000

3) Income and Expenditure Account is prepared to find out

(a) Profit or loss (b) Cash and bank balance (c) Surplus or deficit (d) Financial position

4) Subscription due but not received for the current year is

(a) An asset (b) A liability (c) An expense (d) An item to be ignored

5) As per the Indian Partnership Act, 1932, the rate of interest allowed on loans advanced by partners is

(a) 8% per annum (b) 12% per annum (c) 5% per annum (d) 6% per annum

6) limited liability partnership act was (LLP)

(a) 2007 (b) 2008 (c) 2009 (d) 2010

7) Which of the following statements is true?

(a) Goodwill is an intangible asset (b) Goodwill is a current asset

(c) Goodwill is a fictitious asset (d) Goodwill cannot be acquired

8) Compute annuity factor formula.

(a) $\frac{(1+I)^n-1}{I(1+I)^n}$ (b) $\frac{(1+i)^n-1}{i(1+i)^n}$ (c) $\frac{(1+I)^n-2}{I(2+I)^n}$ (d) $\frac{(1+i)^n-2}{i(2+i)^n}$

9) The excess of assets over liabilities is called

(a) Capital (b) Profit (c) Loss (d) Revaluation

10) Match List I with List II and select the correct answer using the codes given below:

List I	List II					
(i) Sacrificing ratio	1. Investment fluctuation fund	a)	1	2	3	4
(ii) Old profit sharing ratio	2. Accumulated profit	b)	3	2	4	1
(iii) Revaluation Account	3. Goodwill	c)	4	3	2	1

(iv) Capital Account 4. Unrecorded liability d) 3 1 4 2

11) A, B and C are partners sharing profits in the ratio of 4:2:3. C retires. The new profit sharing ratio between A and B will be

(a) 4:3 (b) 3:4 (c) 2:1 (d) 1:2

12) X, Y and Z were partners sharing profits and losses equally. X died on 1st April 2019. Find out the share of X in the profit of 2019 based on the profit of 2018 which showed ` 36,000.

(a) 1,000 (b) ` 3,000 (c) ` 12,000 (d) ` 36,000

13) When shares are issued at premium the amount of premium should be credited to a separate account

(a) Vendor's A/c (b) premium A/c (c) Share capital A/c (d) securities premium A/c

14) The amount of one call should not be more than ------of the face value.

(a) 30% (b) 50% (c) 25% (d) 45%

15) The financial statements do not exhibit

a) Non-monetary data b) Past data c) Short term data d) Long term data

16) Which of the following is not a tool of financial statement analysis?

a) Trend analysis b) Common size statement c) Comparative statement d) Standard costing

17) Cost of revenue from operations ` 3,00,000; Inventory in the beginning of the year ` 60,000; Inventory at the close of the year ` 40,000. Inventory turnover ratio is

(a) 2 times (b) 3 times (c) 6 times (d) 8 times

18) Which one of the following is not correctly matched?

(a) Liquid ratio – 2:1 (b) Gross profit ratio – 5%

(c) Fixed assets turnover ratio – 2 times (d) Debt-equity ratio – 6.40%

19) Find the odd one out :

(a) payment voucher (b) contra voucher (c) Report voucher (d) purchase voucher

20) Which is not the default group in Tally?

(a) Suspense account (b) Outstanding expense (c) Sales account (d) Investments

II) ANSWER ANY SEVEN QUESTIONS IN WHICH QUESTION NO.30 IS COMPULSORY: (7*2=14)

21) From the following details, calculate the capital as on 31st December 2018.

Capital as on 1st January, 2018 1,00,000

Goods withdrawn for personal use by the owner 30,000

Additional capital introduced during the year 15,000

Profit for the year 60,000

22) What is legacy?

23) what is goodwill?

24) Rahul,Ravi and Rohit are partners sharing profit and loss in the ratio of 5:3:2. Rohit retries and the shares in taken by Rohit and Ravi in the ratio of 3:2. Find out new profit sharing ratio and gaining ratio.

25) Arul and Anitha are partners sharing profits and losses in the ratio of 4:3. On 31.3.2018, Ajay was admitted as a partner. On the date of admission, the book of the firm showed a general reserve of ` 42,000. Pass the journal entry to distribute the general reserve.

26) What is working capital?

27) Abdul ltd issued 1000 shares of Rs.100 each. Pass journal entry

Shares are issued at a premium of Rs.20

28) State any five accounting reports.

29) The credit revenue from operations of Harini Ltd. amounted to ` 9,60,000. Its debtors and bills receivable at the end of the accounting period amounted to ` 1,00,000 and ` 60,000 respectively. Calculate trade receivable turnover ratio and also collection period in months.

30) A & B partners are partnership firm. The partners were prepared fixed capital account in every financial year. How many types of fixed capital account Partners are maintained. Explain the accounts.

III) ANSWER ANY SEVEN QUESTIONS IN WHICH QUESTION NO.40 IS COMPULSORY: (7*3=21)

31) Differentiate between statement of affairs and balance sheet. (ANY 3)

32) From the following particulars, show how the item 'subscription' will appear in the Income and Expenditure Account for the year ended 31-12-2018? Subscription received in 2018 is ` 50,000 which includes ` 5,000 for 2017 and ` 7,000 for 2019. Subscription outstanding for the year 2018 is ` 6,000. Subscription of ` 4,000 was received in advance for 2018 in the year 2017.

33) From the following information, calculate the value of goodwill under annuity method: (i) Average profit ` 14,000 (ii) Normal Profit ` 4,000 (iii) Normal rate of return 15% (iv) Years of purchase of goodwill 5 Present value of ` 1 for 5 years at 15% per annum as per the annuity table is 3.352

34) Kavitha is a partner in a firm. She withdraws ` 2,500 p.m. regularly. Interest on drawings is charged @ 4% p.a. Calculate the interest on drawings using average period, if she draws (i) at the beginning of every month (ii) in the middle of every month (iii) at the end of every month

35) Hari, Madhavan and Kesavan are partners, sharing profits and losses in the ratio of 5:3:2. As from 1st April 2017, Vanmathi is admitted into the partnership and the new profit sharing ratio is decided as 4:3:2:1. The following adjustments are to be made.

(a) Increase the value of premises by ` 60,000.

(b) Depreciate stock by ` 5,000, furniture by ` 2,000 and machinery by ` 2,500.

(c) Provide for an outstanding liability of ` 500. Prepare revaluation account.

36) Difference between sacrificing ratio and gaining ratio?

37) Maruthu Ltd. forfeited 150 equity shares of ` 10 each for non payment of final call of ` 4 per share. Of these 100 shares were reissued @ ` 9 per share. Pass journal entries for forfeiture and reissue.

38) Calculate missing items;

Comparative income statement of Mahin&co year ended 31st mar,2016 and 31st mar,2017

Particulars	2016	2017	Absolute amount of increase or decrease	Percentage
Revenue from operation Less: operating exp	4,00,000 ?	? 1,80,000	+1,00,000 -20,000	? -10%
Profit before tax Less: income tax	2,00,000 20%	? 1,60,000	+1,20,000 +1,20,000	? ?
Profit after tax	1,60,000	?	-	?

39) What is automated accounting system?

40) Current ratio=2.5:1

Current liability=1,00,000. then

1) What is the amount of current asset?
2) If the above current asset includes stock-50,000 and prepaid expenses-15,000. calculate liquid ratio?

IV) ANSWER ALL THE QUESTIONS : (7*5=35)

41. A) Azar does not keep his books under double entry system. Find the profit or loss made by him for the year ending 31st March, 2019.

Particulars	31.3.2018	31.3.2019
Cash at bank	5,000 (Dr.)	60,000 (Cr.)
Cash in hand	3,000	4,500
Stock	35,000	45,000
Debtors	1,00,000	90,000
Plant and machinery	80,000	80,000
Land and building	1,40,000	1,40,000
Creditors	1,70,000	1,30,000

Azar had withdrawn 60,000 for his personal use. He had introduced 17,000 as capital for expansion of his business. Create a provision of 5% on debtors. Plant and machinery is to be depreciated at 10%.

(OR)

B)

Following is the Receipts and Payments account of Neyveli Science Club for the year ended 31st December, 2018.

Dr. Receipts and Payments Account for the year ended 31st December, 2018 Cr.

Receipts	₹	Payments	₹	₹
To Balance b/d		By Balance b/d		
Cash in hand	2,400	Bank overdraft		1,000
To Subscription	8,700	By Postage expenses		200
To Life membership fees	5,000	By Science equipments		
To Exhibition fund receipts	7,000	purchased		10,000
To Sale of science		By Laboratory expenses		2,400
equipments (Book		By Secretary's honorarium		5,000
value ₹ 5,000)	6,000	By Audit fees		3,600
To Miscellaneous income	500	By General charges		1,800
		By Exhibition expenses		5,000
		By Balance c/d		
		Cash in hand	200	
		Cash at bank	400	600
	29,600			29,600

Additional information:

(i) Opening capital fund ₹ 6,400

(ii) Subscription includes ₹ 600 for the year 2019

(iii) Science equipment as on 1.1.2018 ₹ 5,000

(iv) Surplus on account of exhibition should be kept in reserve for new auditorium.

Prepare income and expenditure account for the year ended 31st December, 2018 and the balance sheet as on that date.

42.A

Mayiladuthurai Recreation Club gives you the following details. Prepare Receipts and Payments account for the year ended 31st March, 2019.

Particulars	₹	Particulars	₹
Opening cash balance	15,000	Salary of watchman	12,000
Opening bank balance	25,000	Club annual day expenses	15,000
Donations received	48,000	Lighting charges	16,500
Sale of old equipment	26,000	Entertainment expenses	13,500
Refreshment charges	13,000	Billiards table purchased	5,000
Club annual day collections	18,000	Expenses of charity show	3,000
Construction of tennis court	7,000	Sale of investments	12,000
Receipts from charity show	4,000	Closing cash balance	12,000
Rent paid	1,000		

(OR)

B. United Industries Ltd. issued shares of ` 10 each at 10% premium payable ` 3 on application, ` 4 on allotment (including premium), ` 2 on first call and ` 2 on second and final call. Journalise the transactions relating to forfeiture of shares for the following situations:

(i) Manoj who holds 250 shares failed to pay the second and final call and his shares were forfeited.

(ii) Manoj who holds 250 shares failed to pay the allotment money and first call and second and final call and his shares were forfeited.

(iii) Manoj who holds 250 shares failed to pay the allotment money and first call money and his shares were forfeited after the first call.

43.A)

Arun and Selvam are partners who maintain their capital accounts under fixed capital method. From the following particulars, prepare capital accounts of partners.

Particulars	Arun ₹	Selvam ₹
Capital on 1st January, 2018	2,20,000	1,50,000
Current account on 1st January, 2018	4,250(Dr.)	10,000(Cr.)
Additional capital introduced during the year	Nil	70,000
Withdrew for personal use	10,000	20,000
Interest on drawings	750	600
Share of profit for 2018	22,000	15,000
Interest on capital	1,100	750
Commission	6,900	Nil
Salary	Nil	6,850

(OR)

B. Vetri and Ranjit are partners, sharing profits in the ratio of 3:2. Their balance sheet as on 31st December 2017 is as under:

Liabilities		RS	` Assets	RS
Capital account			Furniture	25,000
Vetri	30,000		Stock	20,000
Ranjit	20,000	50,000	Debtors	10,000
Reserve fund		5,000	Cash in hand	35,000
Sundry creditors		45,000	Loss (p&L a/c)	10,000
		1,00,000		1,00,000

On 1.1.2018, they admit Suriya into their firm as a partner on the following arrangements.

(i) Suriya brings ` 10,000 as capital for 1/4 share of profit.

(ii) Stock to be depreciated by 10%

(iii)Debtors to be revalued at ` 7,500.

(iv)Furniture to be revalued at ` 40,000.

(v) There is an outstanding wages of ` 4,500 not yet recorded. Prepare revaluation account, partners capital account of the firm after admission.

44.A) From the following information relating to a partnership firm, find out the value of its goodwill based on 3 years purchase of average profits of the last 4 years:

(a) Profits of the years 2015, 2016, 2017 and 2018 are ` 10,000, ` 12,500, ` 12,000 and ` 11,500 respectively.

(b) The business was looked after by a partner and his fair remuneration amounts to ` 1,500 per year. This amount was not considered in the calculation of the above profits.

(OR)

B)

Pandian does not keep his books under double entry system. From the following information prepare trading and profit and loss account and balance sheet as on 31-12-2018.

	1-1-2018 ₹	31-12-2018 ₹
Furniture	30,000	30,000
Cash in hand	10,000	17,000
Debtors	40,000	60,000
Stock	28,000	11,000
Bills receivable	12,000	35,100
Bank loan	25,000	25,000
Creditors	15,000	16,000

	₹		₹
Cash sales	11,200	Credit sales	88,800
Cash purchases	4,250	Credit purchases	35,750
Carriage on purchases	3,000	Carriage on sales	700
Commission received	600	Interest on bank loan	2,500
Drawings	8,000	Additional capital	14,000
Salaries	8,900	Office rent	2,400

Adjustments:

Write off depreciation of 5% on furniture. Create a provision of 1% on debtors for doubtful debts.

45.A) Manju, Charu and Lavanya are partners in a firm sharing profits and losses in the ratio of 5:3:2. Their balance sheet as on 31st March, 2018 is as follows:

Liabilities `		RS	Assets `	RS
Capital accounts:			Buildings	1,00,000
Manju	70,000		Furniture	80,000
Charu	70,000		Stock	60,000
Lavanya	70,000	2,10,000	Debtors	40,000
Sundry creditors		40,000	Cash in hand	20,000
Profit and loss A/c		50,000		
		3,00,000		**3,00,000**

Manju retired from the partnership firm on 31.03.2018 subject to the following adjustments:

(i) Stock to be depreciated by ` 10,000

(ii) Provision for doubtful debts to be created for ` 3,000.

(iii)Buildings to be appreciated by ` 28,000

Prepare revaluation account and capital accounts of partners after retirement.

(OR)

B) Khan Ltd. issued 50,000 shares of ` 10 each to the public payable ` 4 on application, ` 4 on allotment and ` 2 on first and final call. Applications were received for 65,000 shares. The directors decided to allot 50,000 shares on pro rata basis and surplus application money was utilised for allotment. Pass journal entries assuming that the amounts due were received.

46.A) From the following particulars of abdul Ltd, calculate comparative income statement.

Particulars	2015-16	2016-17
Revenue from operations	3,00,000	3,60,000
Other income	1,00,000	60,000
Expenses	2,00,000	1,80,000
Income tax	30%	30%

(OR)

B) From the following trading activities of Jones Ltd. calculate

(i) Gross profit ratio (ii) Net profit ratio (iii) Operating cost ratio (iv) Operating profit ratio

<u>Statement of Profit and loss</u>

I. Revenue from operations 4,00,000

II. Other income:

Income from investments	4,000
III. Total revenues (I+II)	**4,04,000**
IV Expenses:	
Purchases of stock-in-trade	2,10,000
Changes in inventories	30,000
Finance costs	24,000
Other expenses	
(Administration and selling)	60,000
Total expenses	**3,24,000**
V Profit before tax (III - IV)	80,000

47.A) Explain any five applications of computerised accounting system.

(OR)

B) Antony and Ranjith started a business on 1st April 2018 with capitals of ` 4,00,000 and ` 3,00,000 respectively. According to the Partnership Deed, Antony is to get salary of ` 90,000 per annum, Ranjith is to get 25% commission on profit after allowing salary to Antony and interest on capital @ 5% p.a. but after charging such commission. Profit-sharing ratio between the two partners is 1:1. During the year, the firm earned a profit of ` 3,65,000. Prepare profit and loss appropriation account. The firm closes its accounts on 31st March every year.

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